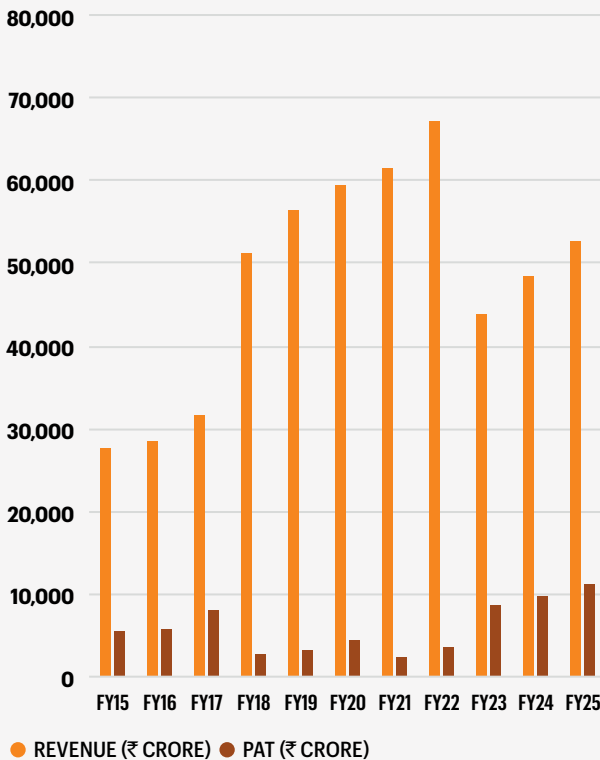


STRONG GROWTH

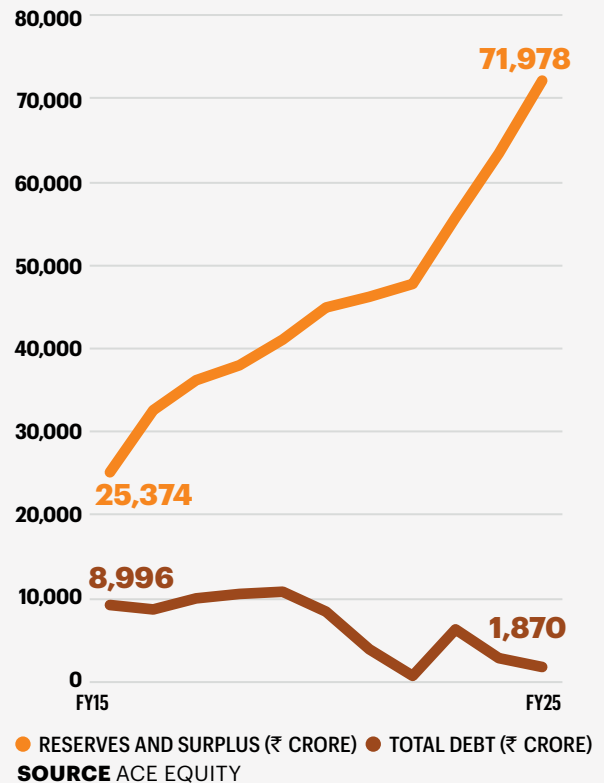
● Though Sun Pharma's revenue dipped after FY22, profits have grown



SOURCE ACE EQUITY

EXECUTION RISKS

● Its debt has been pared in recent years, but the Organon buy will increase it substantially



SOURCE ACE EQUITY

On debt, Satagopan said Sun will manage leverage while reducing it over time. "Sun has historically stayed cash positive, and we will be very disciplined in managing this debt. Our focus will be on deleveraging as quickly as possible while continuing to invest in growth," she said.

Organon's existing debt carries roughly 6% interest, which Sun expects to refinance at 5-5.5%. Sun is acquiring Organon at roughly six times EV/Ebitda, compared with about 20 times for comparable Indian pharmaceutical assets.

"We paid for that acquisition through a much more expensive currency, our stock, leading to dilution," Shanghvi had said earlier while about the Ranbaxy acquisition.

"Typically, you acquire a business either for its own growth trajectory, or because you want to acquire an asset which helps you achieve your long-term objective," he said. "In the case of Organon, I think we are achieving a long-term strategic objective and acquiring a business at a valuation that will become EPS-accretive from the first year," he added.

Brokerage Geojit Financial Services said Sun Pharma's continued investments in specialty medicines, complex generics and innovation-led products, along with a healthy

pipeline and strong execution, are expected to support long-term growth.

THE BIGGEST BET YET

For Shanghvi, this is also the most complex integration he has attempted.

Execution will determine whether the wager pays off. Organon's revenues have remained broadly flat for five years. Established brands are struggling with a structural decline. Nexplanon is facing a patent cliff that the five-year duration approval has only deferred.

Set against these risks is Sun's track record. Shanghvi has built the company through disciplined capital allocation, acquiring underperforming businesses and improving them over time, including Ranbaxy and Taro Pharmaceutical Industries. "We invest in long-term value creation, so we are not looking at everything in terms of six months or one year," Shanghvi had said earlier while discussing Sun's investment philosophy. "But we see a huge opportunity to